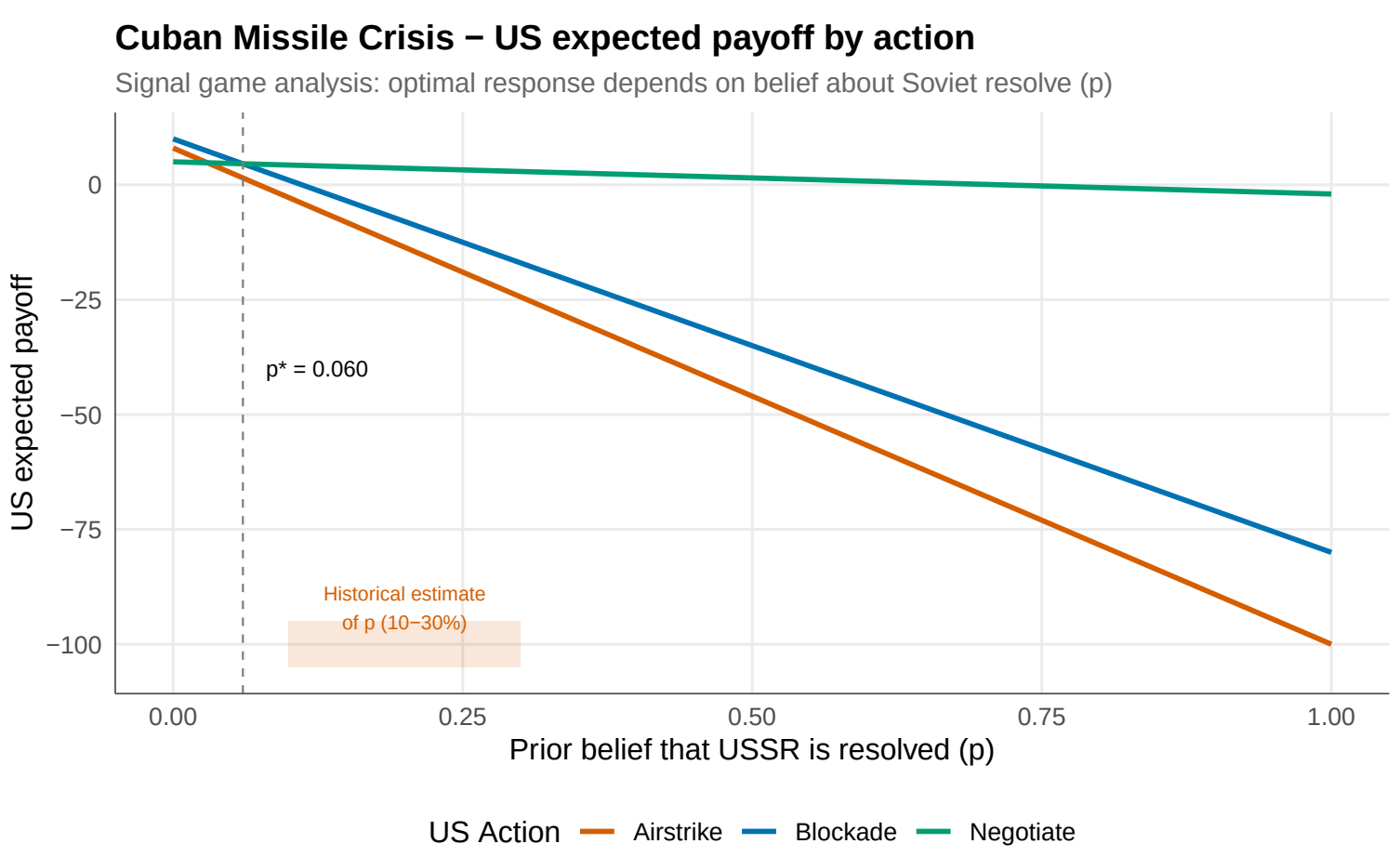
Cuban Missile Crisis − US expected payoff by action
Signal game analysis: optimal response depends on belief about Soviet resolve (p)
US expected payoff
0
−25
−50
−75
−100
p* = 0.060
Historical estimate
of p (10−30%)
0.00
0.25
0.50
0.75
1.00
Prior belief that USSR is resolved (p)
US Action
Airstrike
Blockade
Negotiate